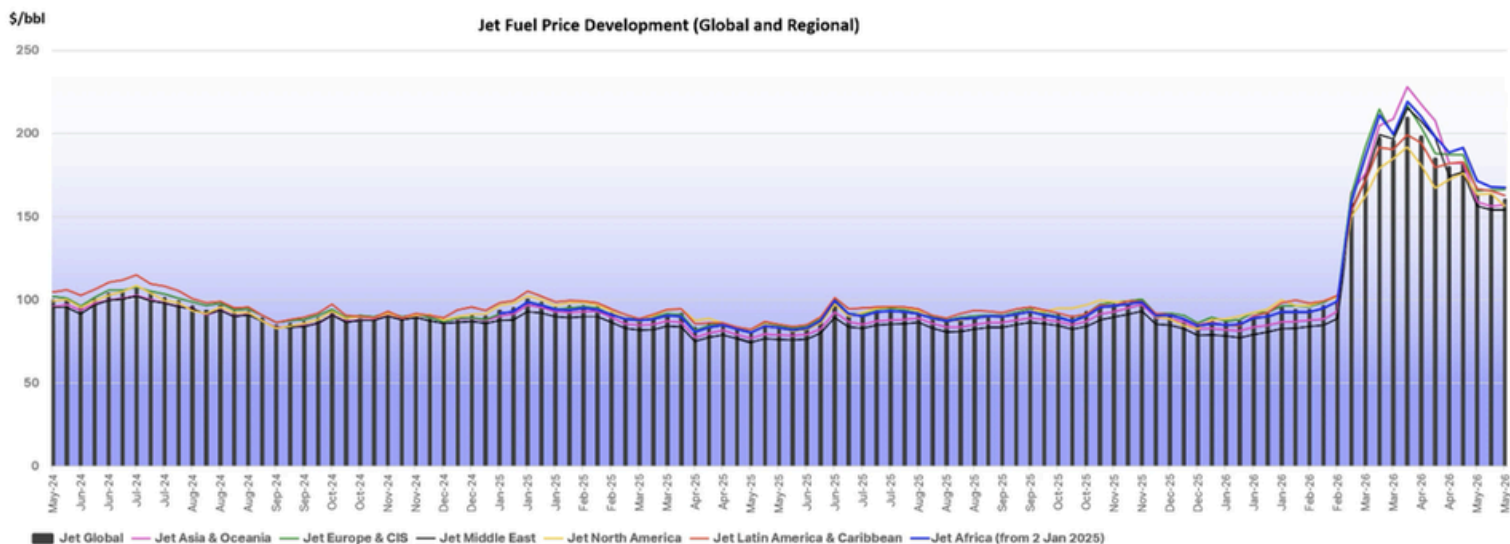


Hormuz Fuel Disruption Exposes European Airlines to Summer Margin Risk

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European aviation firms are **acutely exposed** to Hormuz disruption, with 25–30% of the continent's jet fuel demand originating from the Persian Gulf. Jet fuel prices rose 103% month-on-month in March, reflecting a sharp fall in jet fuel cargoes transiting the Strait. On 17 April, IEA Director General Fatih Birol warned that Europe had “**maybe six weeks**” of remaining jet fuel supplies. The Commission's 22 April package may ease operational pressure through refinery coordination, stock-rule review, and slot flexibility, but it does not remove the underlying supply shock or shield carriers from higher fuel costs.



Source: S&P Global Energy Platts via IATA

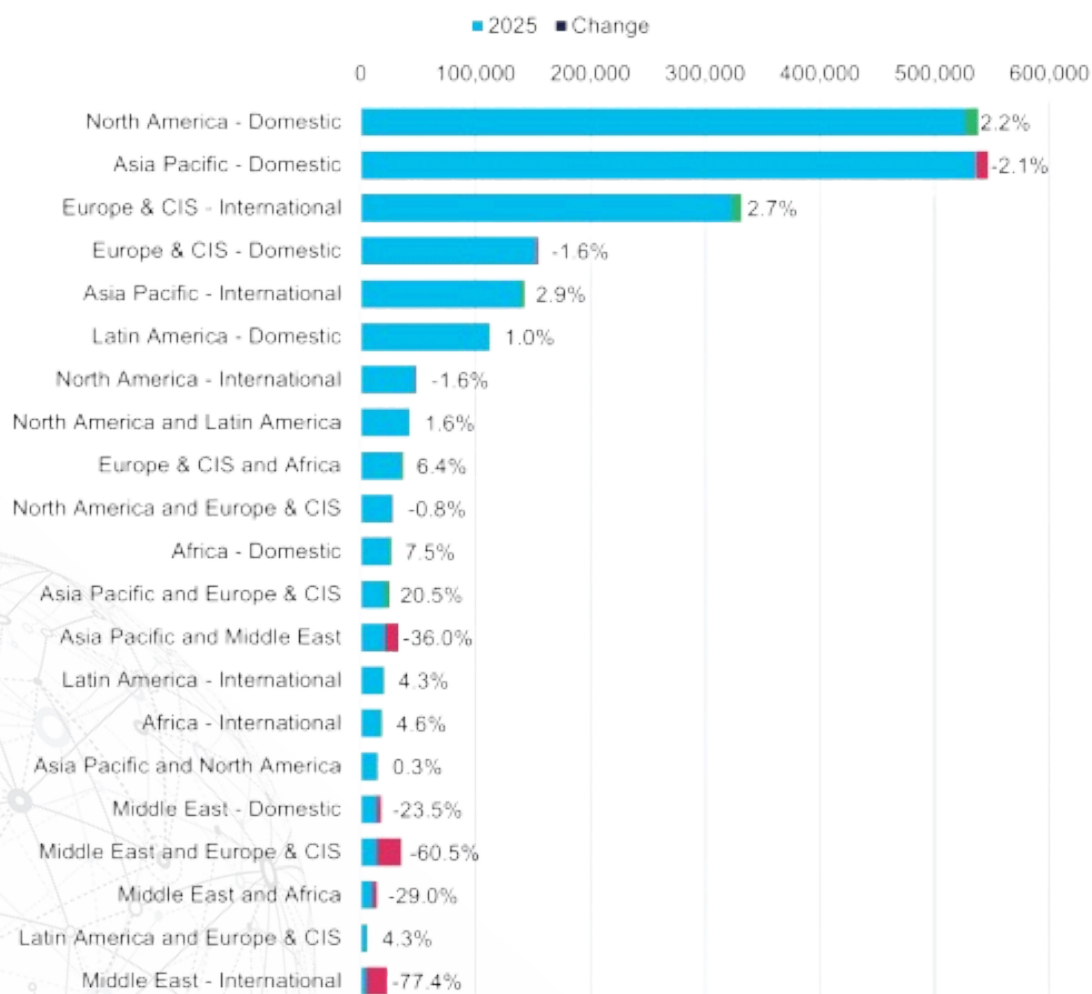
Immediate Political and Market Reaction

- The Commission's **22 April package** prioritises operational flexibility over direct cost relief. It proposes dedicated jet fuel reserves, refinery coordination to maximise kerosene output, as well as temporary flexibility on airport slots, anti-tankering rules and PSO requirements. However, it does not release strategic petroleum reserves, suspend the aviation ETS, or create collective jet fuel purchasing. Carriers therefore receive some operational breathing space but continue to absorb the marginal cost of the fuel shock.
- Mitigating responses have been most drastic from carriers and airports with weaker fuel-supply buffers. Italian airports have moved to emergency rationing. Mediterranean carriers in Spain, Greece and Italy are more exposed because they rely heavily on tanker deliveries. Central and Northern European hubs retain partial protection through pipeline-linked supply.
- Operational and financial pressure is already **visible**. SAS cancelled 1,000 flights in April, while KLM cut 160 flights in May. Lufthansa **announced** the early closure of subsidiary CityLine alongside contingency plans to reduce capacity by 2.5–5%. Ryanair warned of possible summer cuts if the supply shock persists. Virgin Atlantic's CEO said the airline will “struggle to break even” despite fuel surcharges, while Wizz Air's CEO **estimated** a €50 million impact on 2026 net profit.

Commercial Implications

- The package's commercial impact is asymmetric. Low-cost carriers face the clearest near-term margin risk. Slot flexibility does not offset higher kerosene costs, to which LCCs are especially exposed because they typically have lower hedging coverage and a lower capacity to pass fuel surcharges through to consumers without weakening demand.
- Legacy carriers such as Lufthansa, Air France-KLM, and IAG are better insulated by longer hedging contracts. Carriers based in North-West European and Nordic-Baltic hubs are partly protected by the Central Europe Pipeline System and may benefit directly from refinery coordination.
- Mediterranean carriers and regional operators remain most exposed because of their dependency on tanker-delivered kerosene and because PSO flexibility cannot compensate for a supply deficit of this magnitude. Italy has already moved to emergency rationing. Summer cancellations across Mediterranean hubs remain the most probable near-term outcome.
- Ultimately, the 22 April package buys time but cannot substitute for supply. Refinery coordination, stock-rule review, and slot flexibility do not remove the fuel-cost shock facing airlines. Mediterranean airports are already rationing, and low-cost carriers face acute balance sheet pressure. The summer travel season depends more on Hormuz diplomacy than EU regulation. The structural answer to dependency on gulf supply—eSAF and domestic fuel independence—is years away. The acute risk is measured in weeks.

Commercial Flights - April 2026 Vs. Last Year



Source: IBA Insight